HDFC Life Insurance Company Ltd

HDFCLIFE

10.7%

ROE

1.6%

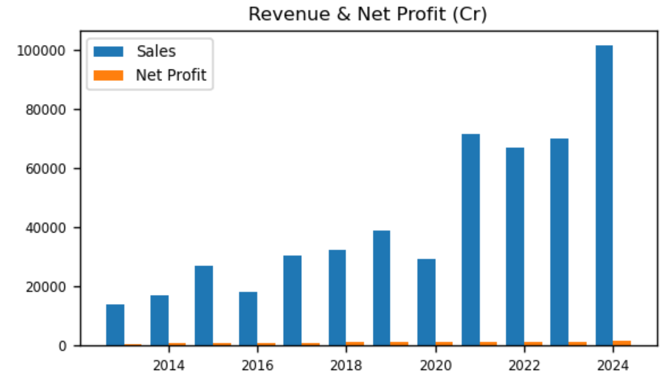
Net Profit Margin

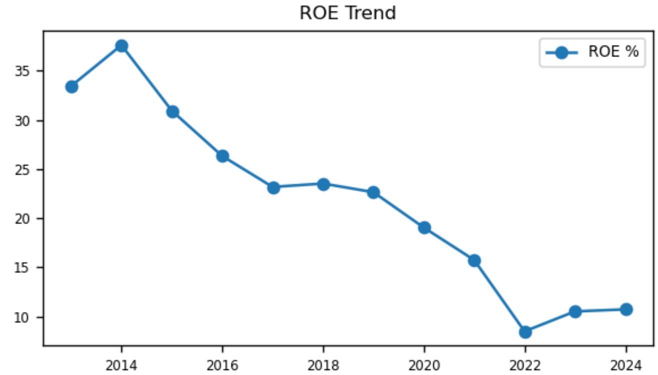
0.06

D/E

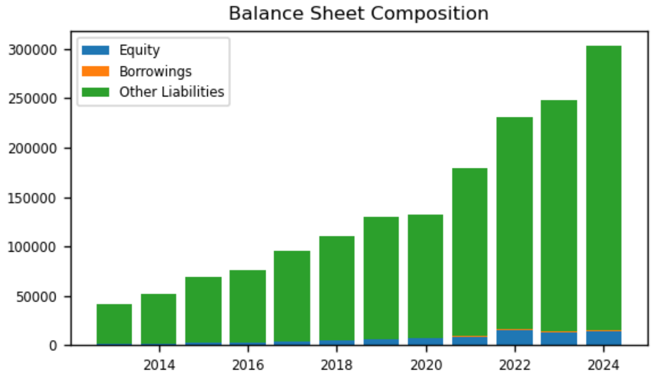
93

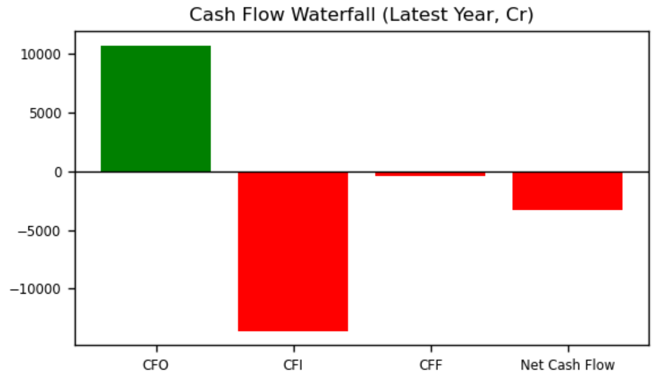
Cr)





HDFCLIFE - Page 2





Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- As a well-regarded company, valuation may already reflect much of the known positive outlook, limiting further re-rating upside

Capital Allocation: Reinvestor